ANALYSIS REPORT | REAL ESTATE INVESTMENT

STUDIO UNITS FOR RENT

Individual or company?

Income tax • Presumed profit • Simulation • Tax reform • Holding companies

2026 figures — November 2026 edition

> **A simulation, not advice.** The figures use a standard case. Check your own case with an accountant before deciding.

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Technical content for better decisions | November 2026
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READING GUIDE

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ABOUT THIS EDITION

English edition of the Portuguese report “Kitnets para aluguel: pessoa física ou jurídica?”. It covers Brazilian law and Brazilian taxes; amounts are in Brazilian reais (R$). Figures and rules are for 2026, with sources checked on November 4, 2026. The up-to-date version of this content is at steelframing.com.br.

A SIMULATION, NOT ADVICE

The figures use 2026 rules and a standard case: rent of R$ 1,800 per unit, no vacancy. The investor’s income, how the properties are registered, the municipality and rules still being regulated all change the result. Check your own case with an accountant before deciding — the last section lists the questions to take to them and to a lawyer.

GLOSSARY

Term	Meaning
CPF / CNPJ	Taxpayer number of an individual / of a company. Used here as shorthand for owning the units as an individual or through a company.
Kitnet	Small studio apartment, usually one room plus a bathroom and a kitchenette.
Carnê-leão	Monthly income tax slip an individual pays on rent received from other individuals.
Desconto simplificado	Standard deduction in the annual return: 20% of taxable income, capped at R$ 17,640 for 2026.
Lucro presumido	Presumed-profit regime: the law presumes a fixed share of revenue (32% for rent) is profit.
IRPJ / CSLL	Corporate income tax / social contribution on net profit.
PIS / Cofins	Federal taxes on revenue, replaced by CBS from 2027.
IBS / CBS	New consumption taxes created by the tax reform (a dual VAT).
ITBI	Municipal tax on property transfers.
Matrícula	Land registry entry; a building can have one for the whole lot or one per unit.

OVERVIEW

Studio units for rent: individual or company?

No structure pays less tax in every case. With up to 2 units and no other income, an individual pays zero income tax in 2026; with 10 units, a company pays R$ 1,600 to R$ 2,900 less per month.

Anyone planning a building of studio units — *kitnets*, as they are called in Brazil — usually starts with three questions: how much the land costs, how much the construction costs and how much rent the units can command. One earlier decision can change the result: will the properties be held by the investor as an individual (CPF) or by a company (CNPJ)?

The choice affects the tax on rent, administrative costs, how the assets are organized, succession and how the investment can grow. With Brazil's tax reform, the math also changes over time: the company's tax burden falls in 2027 and rises again by 2033.

The right question is not who pays less tax in isolation, but which structure leaves the best financial and asset result for that investment and that investor.

STRUCTURE

1. What changes between building as an individual and as a company

Owning the property and running the rental are related but separate things. As an individual, the owner receives the rent and declares it in the personal income tax return. In a company, revenue, expenses and taxes go through the company's books, under the tax regime it chooses.

Criterion	Individual (CPF)	Company (CNPJ)
Owner	The investor, alone or with co-owners	The company; the investor holds shares
Income tax on rent	Progressive table, up to 27.5%	IRPJ and CSLL; about 7.7% of revenue under presumed profit

Criterion	Individual (CPF)	Company (CNPJ)
Taxes on revenue	None, up to the reform thresholds	PIS and Cofins in 2026; CBS and IBS from 2027
Fixed costs	Low: monthly tax slip and annual return	Accounting, filings and fees
Assets	Part of personal assets	Part of the company's assets
Succession	Probate of the properties	Transfer of shares, under the articles of association
Growth	New properties in the owners' names	New partners and acquisitions by the company

A company helps organize partners, management and growth. But on its own it does not remove asset risk, does not guarantee tax savings and does not replace succession planning.

INDIVIDUALS

2. How rent is taxed for individuals

Rent received from individual tenants is calculated every month through the *carnê-leão* (monthly tax slip); when the tenant is a company, it withholds the tax at source. In the annual return, rent is added to the investor's other taxable income.

The 2026 monthly table

Monthly tax base	Rate	Deduction
Up to R$ 2,428.80	Exempt	—
R$ 2,428.81 to R$ 2,826.65	7.5%	R$ 182.16
R$ 2,826.66 to R$ 3,751.05	15%	R$ 394.16
R$ 3,751.06 to R$ 4,664.68	22.5%	R$ 675.49
Above R$ 4,664.68	27.5%	R$ 908.73

Federal Revenue Service, 2026 tables. The annual table (calendar year 2026) is twelve times the monthly one, rounded.

Since January 2026, Law No. 15,270/2025 has created a reduction that brings the monthly tax to zero for taxable income of up to R$ 5,000 and reduces it partially up to R$ 7,350. In the annual return, the equivalent reduction brings the tax to zero for income of up to R$ 60,000 a year and reduces it up to R$ 88,200. In practice, someone with 1 or 2 studio units at R$ 1,800 and no other taxable income pays no income tax on the rent in 2026.

> **STANDARD DEDUCTION**
> In the annual return, the investor can replace all deductions with the standard deduction (*desconto simplificado*): 20% of taxable income, capped at R$ 17,640 for 2026. For someone living only on the rent, this is usually the better option, and the simulation in this report includes it.

Above that, the effective rate rises. Someone living only on the rent of 10 units (R$ 18,000 a month) pays about 20% of revenue, after the standard deduction. Someone who already has a salary or director's fees pays 27.5% on practically all the rent, because the lower brackets are already used up by the other income.

What can be deducted from rent

When paid by the landlord, these can be deducted from rent: property tax (IPTU) and other property fees, collection costs (such as a letting agent's fee) and condominium fees. Maintenance, renovation, depreciation and loan interest cannot. That is why the investment math is not the same as the tax math: an expense can reduce the project's result without reducing the income tax base.

COMPANIES

3. How rent is taxed for companies

A company that rents out its own property cannot opt for the Simples Nacional, Brazil's simplified tax regime for small businesses. The ban is in art. 17, XV, of Complementary Law No. 123/2006, which since 2025, as amended by Complementary Law No. 214/2025, has no exception. Opening a company to receive rent therefore does not lead to the 6% rate — that rate applies to genuine lodging, the subject of the report "Studio units as a boarding house".

Presumed profit

This is the regime most rental companies use. The law presumes that 32% of revenue is profit and taxes that base:

- corporate income tax (IRPJ) of 15% (4.8% of revenue), plus a 10% surtax on presumed profit above R$ 20,000 a month — which only happens with revenue above R$ 62,500 a month;
- CSLL of 9% (2.88% of revenue);
- in 2026, cumulative PIS and Cofins of 3.65% of revenue.

> **COMPANY TAX BURDEN IN 2026**
> 4.8% + 2.88% + 3.65% = **11.33% of gross revenue**, below the surtax. Complementary Law No. 224/2025 raised the presumption percentages by 10% from 2026, but only on the part of annual revenue above R$ 5 million — well beyond a studio-unit building.

Actual profit

This regime taxes adjusted accounting profit. It may be worth studying when there are high expenses, losses or significant financing. High expenses alone are not enough: whether they are deductible and the cost of the bookkeeping have to be part of the math.

From the company to the partner

Distributed profits remain tax-exempt for the partner, with three cautions:

- **Bookkeeping.** Without full accounting records, the tax-exempt distribution is limited to presumed profit minus taxes. In a 10-unit building, that is about R$ 3,700 a month out of cash of nearly R$ 16,000. Distributing the rest tax-free requires full accounting.
- **10% withholding.** Since January 2026 (Law No. 15,270/2025), when one company pays more than R$ 50,000 in profits to the same partner in a month, it withholds 10% income tax on the whole amount. With 20 units at R$ 1,800, the distribution is about R$ 32,000 a month, below that limit.
- **Minimum tax.** Anyone with total income above R$ 600,000 a year now has a minimum income tax, reaching 10% from R$ 1.2 million; dividends count towards it.

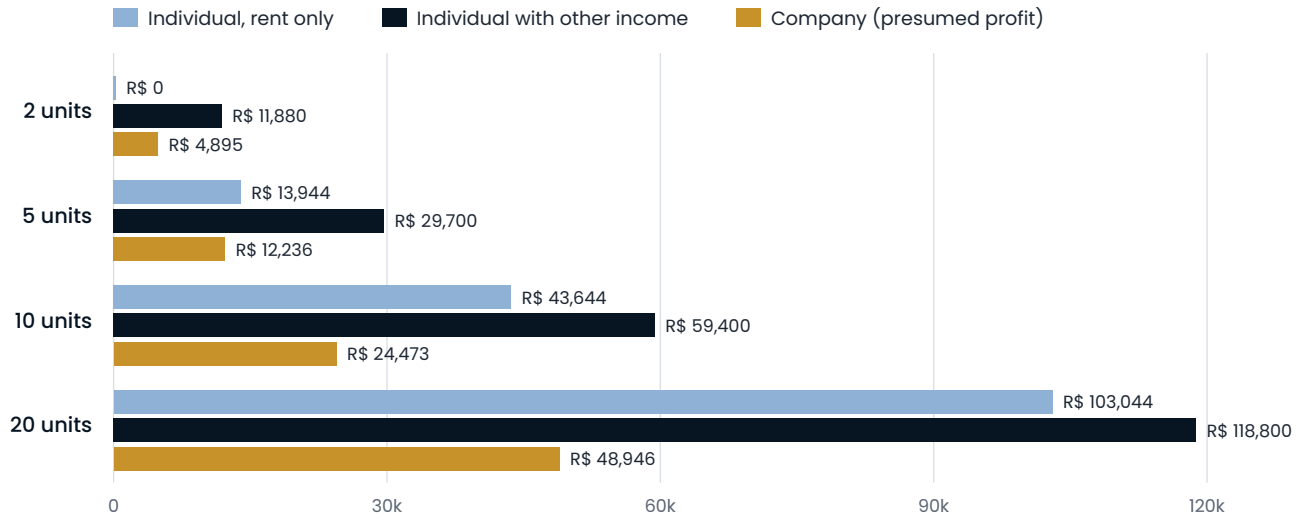
SIMULATION

4. What each structure pays

For someone living only on the rent, a company starts paying less tax from 5 units; for someone who already has other income, from the first one. But it only pays off when that difference covers the cost of running it.

Assumptions: rent of R$ 1,800 per unit, 12 months with no vacancy, 2026 rules, company under presumed profit with no surtax. Two investor profiles: someone living only on the rent, using the standard deduction in the annual return and no other deductions; and someone who already has other taxable income (salary, director's fees), who already uses the deduction and pays 27.5% on all the rent.

TAX PER YEAR



Units	Revenue per year	Individual, rent only	Individual with other income	Company (presumed profit)
2	R$ 43,200	R$ 0 (0.0%)	R$ 11,880 (27.5%)	R$ 4,895 (11.33%)
5	R$ 108,000	R$ 13,944 (12.9%)	R$ 29,700 (27.5%)	R$ 12,236 (11.33%)
10	R$ 216,000	R$ 43,644 (20.2%)	R$ 59,400 (27.5%)	R$ 24,473 (11.33%)
20	R$ 432,000	R$ 103,044 (23.9%)	R$ 118,800 (27.5%)	R$ 48,946 (11.33%)

Own calculation using the Federal Revenue Service's 2026 tables. No vacancy, no other deductions.

What is left each month to pay for the company

The tax difference in the company's favor is the ceiling on what it can cost — accounting, filings, fees — and still pay off.

Units	Investor living only on the rent	Investor with other income
2	The company pays R$ 408 more	R$ 582
5	R$ 142	R$ 1,455
10	R$ 1,598	R$ 2,911
20	R$ 4,508	R$ 5,821

The break-even point

Company cost per month	Living only on the rent	Already has other income
R$ 800	from 8 units	from 3 units
R$ 1,200	from 9 units	from 5 units

Company costs of R$ 800 and R$ 1,200 a month are calculation assumptions, not quotes.

> **THE INVESTOR'S OTHER INCOME MATTERS MORE THAN THE NUMBER OF UNITS**
> What matters to the investor is the result after everything: actual revenue minus operating expenses, taxes and the cost of the structure — and, in a company, what actually reaches the partner. Ask your accountant for the real cost of running the company.

TAX REFORM

5. What the tax reform changes to 2033

The reform makes companies cheaper in 2027 and 2028 and more expensive by 2033; individuals with few units stay outside IBS and CBS.

From 2027, PIS and Cofins give way to CBS. From 2029 to 2032, IBS phases in, until the full model in 2033. IBS and CBS are the new consumption taxes created by the reform (a dual VAT). For property rental, Complementary Law No. 214/2025 cuts IBS and CBS rates by 70% and, for residential rent, allows a social deduction of R$ 600 per property from the tax base, indexed to inflation (arts. 260 and 261). Residential rentals of up to 90 days follow the hotel rules (art. 253).

For companies

A company is always a taxpayer. The estimate below uses the parameters the IBS Management Committee adopted in July 2026 to project revenue — CBS of 9.21% and IBS of 18.7%, which are not yet final rates —, with rent of R$ 1,800 and the deduction applied per unit.

Period	Estimated company tax on rent
2026	11.33% (IRPJ, CSLL, PIS and Cofins)
2027–2028	About 9.5% (CBS replaces PIS and Cofins)
2029–2032	Rises gradually as IBS phases in
2033	About 13.3% (about 15.8% if the building counts as a single property)

The law defines a residential property as "the built unit" (art. 259, § 1, I), which supports reading it per unit; the regulations and the building's land registration need to be checked.

For individuals

An individual only starts paying IBS and CBS on rent when, in the previous year, rental revenue exceeds R$ 240,000 **and** involves more than three distinct properties (art. 251). Within the year, the trigger is revenue above R$ 288,000, also with more than three properties (Decree No. 12,955/2026, art. 382). The amounts are indexed to inflation (IPCA).

- 5 or 10 units at R$ 1,800 stay below R$ 240,000 a year: no IBS or CBS, whatever the number of land titles.

- 20 units (R$ 432,000 a year) exceed the limit. If the units are distinct properties, the individual pays IBS and CBS on top of income tax.
- Ten functional units are not necessarily ten distinct properties: each unit's land registration and the way the building was registered are part of the analysis.

WHAT MAY STILL CHANGE

- **IBS and CBS rates.** The rates used here are the IBS Management Committee's estimates for projecting revenue; the final rates have yet to be set.
- **Deduction per unit or per building.** Reading it per unit depends on the regulations and the land registration. If the building counts as a single property, the company's 2033 burden goes from about 13.3% to 15.8%.
- **ITBI on capital contributions.** The Supreme Federal Court has decided Topic 1348, but the ruling has not been published; the final thesis and any limit on its effects are still pending.

HOLDING

6. Holding companies and transferring property

A "holding company" for assets is a company set up to own and manage property — it is not a tax regime. It can be used to centralize the management of several properties, set rules between partners, organize family holdings, plan succession and track a portfolio's results. It does not guarantee absolute asset protection or automatic savings: the result depends on corporate, tax, financial and succession factors.

The cost of moving property from an individual to a company

- **Income tax.** An individual can transfer property into the company's capital at the value declared in the income tax return, with no capital gain (Law No. 9,249/1995, art. 23). At market value, the difference is taxed as a gain.
- **ITBI (property transfer tax).** The Constitution exempts capital contributions from ITBI, except for companies whose main activity is buying, selling or renting property (art. 156, § 2, I). On October 19, 2026, the Supreme Federal Court ruled, 8 votes to 2, that the immunity also applies to real estate companies (Topic 1348), up to the value of the capital contributed. At the time of writing, the ruling had not been published; until then, municipalities may still charge it.
- **Registry.** The capital contribution deed, the land registry entry and the amendment of the articles of association have their own costs.

This upfront cost can reduce or wipe out the advantage of having a company.

PLANNING

7. Build as an individual and switch to a company later?

The decision is worth more before buying the land than after construction. Buying and building as an individual and transferring years later requires valuing the properties, new registrations and analyzing the income tax and ITBI on the transfer. Setting up the company first, on the other hand, does not guarantee better financing or cheaper construction. The choice affects:

- financing for the land and construction, and the guarantees required;
- how the construction is contracted;
- whose name the finished building is in and how the units are registered — one land title for the building or one per unit;
- the cost of a future transfer;
- the taxation of the rental and of any future sale.

One land title per unit matters for the tax reform, the social deduction and the individual's property count. If that is the route, it has to be planned from the approved design.

BUILDING SYSTEM

8. Where Light Steel Framing fits in

Individual or company defines how the investment is organized; the building system changes how the building is produced. They are different decisions that need to work together.

In buildings with repeated units, Light Steel Framing works with modular components and planned assembly. This can standardize stages and make cost and timeline more predictable — provided there is a coordinated design, a trained crew and coordinated supply. Fast assembly does not, by itself, shorten the project timeline: permits, infrastructure and supply can delay the start of revenue.

In the financial analysis, tax structure and building system are separate variables: an advantage that comes from how the investment is organized should not be credited to LSF, nor the other way around.

STRATEGY

9. When each option makes more sense

Structure	When it tends to make sense
Individual	A small portfolio, an investor without other high income and company costs that the tax difference does not cover. With up to 2 units and no other income, income tax is zero in 2026.
Company	Enough scale — in the simulation, from 8 to 9 units for those living on the rent, or 3 to 5 for those with other income —, partners, growth plans and a full comparison that includes accounting and the reform.
Holding company	Several assets, family or partners and succession to plan, with transfer and running costs justified by the benefits.

Ranges from the simulation, with rent of R$ 1,800 and company costs of R$ 800 to R$ 1,200 a month. There is no universal number of units: the investor's total income, how the properties are registered, costs and goals all change the result.

CONCLUSION

10. Conclusion: the legal structure is part of feasibility

Building studio units as an individual or through a company can lead to different results even with the same land, design and rent. A company tends to pay off as revenue grows and when the investor already has other income; the reform lowers the company's burden in 2027 and 2028 and raises it by 2033.

No structure guarantees returns. The choice between individual and company is part of the feasibility study, alongside design, construction cost, financing, operation and risk.

> **DECIDE THE STRUCTURE BEFORE BUYING THE LAND**
> Check it with an accountant and a lawyer, and the design with an engineer or architect.

CHECKLIST

Questions to take to your accountant and lawyer

The simulation in this report uses a standard case. These questions turn the standard case into yours.

For your accountant

1. Given my total income, what is the effective rate on rent as an individual — with the standard deduction or with itemized deductions?
2. For the company, presumed profit or actual profit? Is there an expense, loss or financing that changes the math?
3. How much does running the company cost each month: fees, filings, charges and digital certificate?
4. Will I need full accounting to distribute profits tax-free? How much more does it cost?
5. How will IBS and CBS work for me from 2027 to 2033, with the deduction applied per unit or per building?
6. As an individual, will my rent exceed R$ 240,000 a year across more than three distinct properties?

For your lawyer

7. One land title for the building or one per unit: what changes in registration, financing and the tax reform?
8. Should I buy the land as an individual or through the company? What would a later transfer cost?
9. If I contribute the properties to a company, will my municipality charge ITBI? What changes after Topic 1348?
10. Does a holding company make sense for me? What changes in succession, the partners' agreement and asset protection?

> **ALSO BRING**
> Your estimated annual income besides the rent, the number of units, the expected rent, whether the units will have their own land titles, the municipality of the land and who the partners will be.

SOURCES

References and sources

Accessed between October 27 and November 4, 2026. All sources are in Portuguese.

1 Complementary Law No. 123/2006 — Simples Nacional, art. 17, XV.

2 Complementary Law No. 214/2025 — IBS and CBS, arts. 251, 253, 259, 260 and 261.

3 Federal Constitution, art. 156, § 2, I (ITBI).

4 Law No. 9,249/1995, art. 23 (capital contributions in kind).

5 Decree No. 12,955/2026 — CBS regulations, art. 382.

6 Law No. 15,270/2025, income tax reduction, dividend withholding and minimum tax.

7 Federal Revenue Service — 2026 tax tables, monthly and annual tables, standard deduction and reduction.

8 Dividend taxation in 2026.

9 Complementary Law No. 224/2025 and presumed profit.

10 The social deduction: arts. 259 and 260 of Complementary Law No. 214/2025.

11 IBS Management Committee estimates the VAT at 27.91%, CGIBS Resolution No. 14/2026.

12 Supreme Federal Court, Topic 1348 — ITBI on capital contributions and APET analysis.

KEEP LEARNING

This report is part of the Studio Units block of the Investment Market module at steelframing.com.br. The up-to-date version is at steelframing.com.br — technical content for better decisions.

For information only; not accounting or legal advice. Before deciding, check the structure with an accountant and a lawyer.